

Fixing BNPL Algorithmic Fraud: Open-Source Regulatory Safeguards for CFPB Oversight

1 message

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Dear Senate Banking Committee Staff,

As the Committee evaluates upcoming consumer protection frameworks and oversees the Consumer Financial Protection Bureau's (CFPB) approach to digital lending, I want to share a functional, data-driven solution to a critical gap in Buy Now, Pay Later (BNPL) regulatory compliance.

My name is Chase Kinslow. As an attorney (JD) and Certified Public Accountant (CPA), my work focuses on the intersection of administrative law and financial technology. Specifically, I look at how automated fintech algorithms frequently violate established consumer protections during active fraud disputes.

Traditional credit providers operate under strict Regulation Z guidelines, which mandate a pause on automated collections when a consumer flags an unauthorized transaction. However, modern BNPL platforms often use real-time credit-decisioning engines that continue to penalize consumers, automate ledger hits, and degrade consumer credit files while an active dispute is pending. This represents a systemic compliance failure that current regulatory tools struggle to audit efficiently.

To address this, I have engineered an open-source, version-controlled compliance blueprint designed to bring algorithmic accountability to automated lenders. It establishes a **Mandatory Dispute Servicing Pause** directly within fintech data workflows.

Rather than relying on opaque corporate assertions, this framework treats compliance evidence as code, utilizing immutable, tamper-proof logs to track dispute lifecycles across state jurisdictions (such as Louisiana and California). The technical logic, data frameworks, and a real-world case study are publicly archived and auditable here:

<https://bit.ly/4q8isr1>

When navigating the archive, I recommend starting with the **"Dispute Timeline & Log"** section, which provides an indexed chronological ledger showing exactly how carrier tracking anomalies map against automated credit risk flags.

This model provides a practical framework for the Committee's oversight goals, proving that federal consumer protections can be embedded directly into financial software architectures without stifling industry innovation.

I would welcome the opportunity to brief your team, review the automated ledger logic, or discuss how the Committee can leverage open-source compliance standards to strengthen fintech transparency.

Thank you for your time and consideration.

Sincerely,

Charles W. "Chase" Kinslow IV, JD, CPA

<https://www.linkedin.com/in/chasekn>

chasekn43.github.io/regulatory-archive-2026/

<https://bit.ly/4q8isr1>

